

KENYA Supporting Access to Finance and Enterprise Recovery (SAFER) Project (P175017)

Mid Term Review Mission, November 3 – 12, 2025

Aide-Mémoire

A. Introduction

1. A World Bank Group team¹ undertook a Mid-Term Review (MTR) mission for the Supporting Access to Finance and Enterprise Recovery (SAFER) project from November 3 – 12, 2025. The mission held discussions with the National Treasury (NT), Kenya Development Corporation (KDC), Central Bank of Kenya (CBK), Savings and Credit Cooperatives Societies Regulatory Authority (SASRA), Kenya National Entrepreneurs and Savings Trust (K-NEST), and the Micro and Small Enterprises Authority (MSEA). A list of organizations met is provided in Annex 2.

The objective of the mission was to assess the progress of project implementation to date, including:

- a) Project implementation review – including an assessment of the projects relevance, design, effectiveness, implementation arrangements, and associated risks;
- b) Conduct a fiduciary and safeguards assessment;
- c) Conduct an institutional and financial sustainability assessment of KDC as a wholesale lending entity under the project;
- d) Pursue technical discussions with the CBK, as a follow up to NT's request to support the upgrade of the fast payment system and related regulatory frameworks; and
- e) Recommend actions to scale up existing and introduce new innovative financial solutions aimed at supporting Micro Small and Medium Enterprises (MSME) growth.

2. The mission expresses its gratitude for the cooperation and hospitality extended by counterparts. This Aide Memoire summarizes the mission's findings and agreed actions. It's subject to World Bank Management review and clearance and is not for public disclosure.

B. Project Objectives and Financing

3. It is recommended to raise the Project Implementation rating from 'Moderately Satisfactory' (MS) to 'Satisfactory' (S) at mid-term review, reflecting strong progress across components and high disbursement levels. The Project Development Objective (PDO) rating should also be upgraded, as one PDO indicator has already exceeded its target (90.2% of MSMEs supported survived COVID-19 versus a 70% goal). The project continues to track well on other indicators, including private capital mobilization and MSME financing, with additional disbursements expected in January 2026 following the meeting of the Performance Based Conditions (PBCs). Component ratings for Component 3 is recommended for an upgrade due to positive implementation with component 1 fully disbursed and tracking full results, the achievement of PBCs under component 2 thus unlocking financing, and a positive track of implementation on all activities approved within the Annual Working Plan and Budget (AWPB) for the FY25/26. With PBC 1 likely to be met by January 2026, the project is set to disburse another US\$15 million, increasing the overall rate from 57% to 75% and further disbursements reaching up to 80% with implementation of activities under Component 3.

¹ The mission was led by Leah Kiwara (Senior Financial Sector Specialist Task Team Leader (TTL) and Ahmed Rostom (Senior Financial Sector Specialist and (Co-TTL) and); and comprised of Stefan Mario Queck (Senior Financial Sector Consultant), Gynedi Srinivas (Senior Financial Sector Specialist), Meron Tadesse Techane (Senior Financial Management Specialist), Edwin Nyamasenge (Financial Management Specialist), Aggrey Ochieng Kwadha (Environmental Specialist), Jacinta Achote Murunga (Social Development Specialist), Aleme Worku Tachbele (Procurement Specialist), Japheth Ochieng Odhiambo Ngura (Financial Management Consultant), Vincent O (Procurement Consultant) and Clare Nashiminyu (Program Assistant).

- 4. The fifth sitting of the Project Coordination Committee (PCC) convened on November 11, 2025,** under the chairmanship of the Director General of Budget Fiscal and Economic Affairs (BFEA), representing the Principal Secretary of the NT. The committee acknowledged the positive contributions of the SAFER project in enhancing access to finance, establishing a private sector majority-owned credit guarantee scheme, and advancing critical financial sector reforms such as improvements to the national payment systems, financial consumer protection, micro-pension schemes, institutional development, and capacity building for Kenya's financial regulators. The need for accelerated implementation was highlighted to ensure complete absorption and disbursement of the allocated FY26 AWPB budget, given current fiscal constraints. It was agreed that the project would prioritize achieving significant disbursement and implementation milestones, and continue efforts towards additional financing requests aimed at furthering strategic financial sector reforms—including introducing innovative solutions to improve access to finance for medium-sized enterprises, central bank-led enhancements to fast payment systems and national payment systems, and reinforcing institutional and financial support for key sector regulators and participants.
- 5.** The project key data and rating are provided in table 1 and 2 respectively below:

Table 1: Key Project Data

Project ID	P175017; Country: Kenya	Approval Date	March 31, 2022
Financing	IDA Credit No. 70180, EUR 85.9 million (US\$ 100 million)	Effectiveness Date	May 9, 2022
Disbursement FY 26	57%	Closing Date	December 31, 2026

Table 2: Project Ratings

Project Ratings:	Previous	Current (Suggested)
PDO	MS	S
IP	MS	S
Component 1:	S	S
Component 2:	MS	S
Component 3: Technical Assistance	MS	S
Project Management	S	S
Procurement	MS	MS
Financial Management	MS	S
Environmental and Social Safeguards	S	S
Monitoring and Evaluation	S	S

C. **Key discussions and conclusions**

Overall project implementation

- 6. The Mid Term Review mission reported substantial progress in project implementation, as evidenced by the disbursement rate rising from 17% on 31 December 2024 to 57% by May 2025, with an anticipated increase to 75% once the project fulfills its PBC 1 under component 2 in January 2026.** This advancement, especially in the execution of component 1 - demonstrates the increasing demand for credit among eligible Micro, Small, and Medium Enterprises (MSME) beneficiaries through Participating Financial Institutions (PFIs). The implementing agency, KDC, showed strong management skills and oversight. As of 31 October 2025, the project has provided financial support to 38,215 MSME beneficiaries. Of these, 93.6% are micro enterprises, 6% are small enterprises, and 0.4% are medium enterprises. Women represent 12,691 of all beneficiaries, with loans to women-led businesses accounting for 38.7% of the total

MSME loan volume. Youth constitute 22% of the beneficiaries; however, only 11% of loan volume has gone to youth borrowers. Additionally, the project has created or improved 26,298 jobs across Kenya. The mission recognized the SAFER project as a key driver of Kenya's Bottom-Up Economic Agenda, aiming to improve access to finance for MSMEs in vital economic value chains that promote growth.

7. The Credit Guarantee Company (CGC), supported by Component 2 of the project, is making swift progress toward establishment. Following Cabinet approval of a company structure with majority private sector ownership, along with legal amendments granting the Central Bank of Kenya (CBK) regulatory authority, key actions have been taken to appoint a Transaction Advisor (TA). The TA is now working on the registration process for the CGC. To date, the National Treasury has received three letters of intent from private sector investors interested in investing in the company. Currently, the TA is conducting negotiations regarding the capital investments among these private investors.

8. The MTR mission highlighted the need for further technical discussions to guide the National Treasury's request for project restructuring. It also recommended expanding support to MSMEs, particularly medium-sized enterprises, as data indicated that most lending currently targets micro and small businesses. This signals the need for catalytic interventions to introduce innovative solutions and unlock financing for larger enterprises. Additionally, the mission noted the CBK's commitment to upgrading the National Payments Infrastructure - a process slightly delayed due to ongoing work on the National Payments System (NPS) Act 2025, which is still being drafted with input from key stakeholders. Following the National Treasury's approval for the project to assist the CBK in developing the Fast Payment System, the mission agreed to schedule a separate technical mission in Q3 of FY 25/26. This mission will define the additional scope of work, determine extra financing required, and outline the extended timeline needed to complete both pending and revised project tasks.

Implementation of Component 1 – Innovation and Liquidity Support to MSMEs

9. The mission observed notable progress in the execution of the line of credit under component 1. KDC has disbursed KES 5.65 billion (US\$43.5 million) from the total KES 6.35 billion (US\$48.8 million) allocated by the National Treasury, with the final tranche scheduled for completion in Q3 FY25/26. This reflects strong demand for financing and enhanced operational efficiency at KDC. Currently, 18 PFIs are participating in the KDC wholesale financing program; 12 have received either the initial or both tranches of disbursement, while the remaining 6 new PFIs are undergoing final legal processing prior to disbursement. The mission recommended accelerating the next phase of implementation via digital channels and platforms, with particular emphasis on engaging PFIs capable of developing digital products and collaborating with MNOs to support informal sector MSMEs.

10. A total of 11 PFIs, primarily SACCOs, have provided financing under the SAFER project that benefited 41,741 MSMEs as at the end of November 2025. Of these, 38.7% were women-owned businesses, 4.2% supported the green economy, and 27,330 jobs were created as at November 2025. The SAFER project has reached 37 out of Kenya's 47 counties and aims for full national coverage once its digital component is fully implemented. Most beneficiary MSMEs operate in retail trade (49%), agriculture (21%), and hospitality/services (10%), among other sectors. Additionally, 14.5% of MSMEs receiving SAFER Credit invested in green initiatives, with most funds directed toward organic farming (6.4%), water conservation (2%), solar power projects (2%), and biogas initiatives (1.5%). However, actual spending on the green economy stands at 4.2%. The project has also fostered innovation at the financial intermediary level, resulting in the creation or association of 12 MSME finance products with SAFER. KDC launched the 'Nawiri' wholesale finance product as its first major funding product, and six SACCOs developed unique MSME finance offerings under SAFER—including SAFER Bizna by Fortune Sacco, Kwamua loan by K-Unity, Biashara loan by Boresha, Kilimo loans (short term and long term), and Mjaza stock loan by Boresha SACCO. Additionally, another six SACCOs introduced specific identifiers for MSME products within the SAFER project.

- a. **Key challenges in implementing Component 1** included limited ESMS capacity at KDC and PFIs prior to project initiation, resulting in delays in meeting disbursement criteria and fulfilling ESMS reporting requirements. PFIs encountered difficulties in reporting certain indicators,

such as employment figures, due to existing capacity gaps. Additionally, PFIs highlighted that the borrowing cap of KES 250,000 was inadequate for many MSMEs in light of inflationary pressures. SAFER products also lacked differentiation, attributable in part to protracted board and regulatory approval processes. MTR discussions identified major delays in launching component 1, as the Subsidiary Loan Agreement between NT and KDC was not signed until August 2023—over a year after the project's effectiveness in March 2022—due to prolonged legal processes that further postponed overall implementation. In addition, project onboarding was delayed further by detailed financial due diligence from the Apex institution. PFIs had varying data systems—from manual to automated—which required significant training to ensure both PFIs and MSMEs met compliance and effectiveness standards

- b. **Lessons learned at the MTR stage:** The MTR underscored that SAFER's continued success hinges on stakeholder collaboration to address persistent challenges and facilitate further automation. It was also observed that most MSMEs have recovered from the impacts of Covid-19 and are now focused on resilience and growth, indicating that the project should transition its emphasis from immediate emergency response toward reinforcing MSME sector resilience to support economic development.

11. The mission also carried out a comprehensive financial and institutional assessment of KDC.

Before approving the project, a financial intermediary assessment was conducted in autumn 2022 to ensure KDC met the Financial Intermediary Policy requirements. Both evaluations determined that KDC complies with these policy standards and is eligible to serve as the project implementation agency, specifically as the second-tier institution responsible for distributing project funds to the PFIs. Annex 1 contains a comprehensive Financial Intermediary Financing (FIF) description.

Implementation of Component 2 – De-risking lending to MSMEs

12. The National Treasury maintains positive progress in the implementation of the existing National Treasury Credit Guarantee Scheme (CGS) and is on track to register the Credit Guarantee Company (CGC) by the 17th December 2025.

By 30th June 2025, CGS had disbursed about KES.6.6 billion to 4,315 MSMEs across 46 counties (excluding Mandera counter) and to a total of 12 sectors, according to Central Bank of Kenya reports. Of these, 68% were new borrowers, highlighting improved access to credit for marginalized groups. Micro, small, and medium enterprises received 29%, 57%, and 14% of disbursements respectively. Businesses owned by women, youth, and PWDs accounted for 20% of guaranteed facilities. The program has supported at least 27,441 jobs and maintains an outstanding guarantee of KSh.332.7 million. So far, 3,537 facilities worth KSh.5.3 billion have been repaid, freeing up KSh.1.3 billion for further lending. The leverage ratio stands at 2.4, unlocking KSh.2.4 in private sector credit for every shilling committed by the Government.

13. The National Treasury is advancing the establishment of the Kenya Credit Guarantee Company (KCGC).

Through the SAFER project, the National Treasury has engaged a Transaction Adviser to support the transformation of the Credit Guarantee Scheme (CGS) into a limited liability company with minority government ownership, thereby promoting impact, sustainability, and continuity. This transition has received approval from both Cabinet and Parliament. The KCGC will be subject to oversight by the Central Bank in accordance with the sustainability requirements specified in the project design. The company will be incorporated under the Companies Act and regulated by the Central Bank as stipulated in the Business Laws (Amendment) Act, 2024. The MTR notes the below challenges as impending the progress of component 2:

- a. **Challenges:** The disbursement of Component 2, linked to the establishment, registration, and licensing of the Kenya Credit Guarantee Company (KCGC), faced significant delays. These setbacks stemmed from the complex legal procedures required to transition the Credit Guarantee Scheme regulations from the initial Public Financial Management (PFM) Act framework to incorporation under the Companies Act, along with oversight from the Central Bank of Kenya, which necessitated new CBK regulations. Prolonged legal processes and

- changes in senior ministry leadership further impacted timely policy decision-making, extending the project implementation period.
- b. **Lessons Learnt:** To facilitate the formation of KCGC and meet key Performance-Based Conditions (PBCs) under Component Two, the project engaged a Transaction Advisor through its technical assistance component. The advisor is actively supporting company establishment, board structuring, capital acquisition, and the preparation of operational manuals. The MTR found that creating a new independent entity requires significant time for legal frameworks, governance, capitalization, and operational setup. Time-consuming activities like public participation, marketing, and investor meetings should be factored into future project planning.

Implementation of Component 3 – Technical Assistance

14. The mission was informed of the progression by the Central Bank of Kenya (CBK) on key reforms on the Payment Systems. The project has provided technical support on the review of the National Payment System (NPS) Act and subsequent regulations spearheaded by the CBK Banking and Payment services (BPS) team. The NPS Act is now at version 6 having benefitted from stakeholder engagement and technical review from the SAFER task team payment experts and is pending public participation slotted for January 2026. The project has also supported technical assistance support to the development of a Financial Consumer Protection (FCP) framework driven by the CBK as part of the financial sector regulators forum and this is set for further review and finalization in January 2026.

15. The Central Bank of Kenya (CBK) remains committed to the set-up of a modern Fast Payments System (FPS). As noted during the MTR mission, the FPS will enable the realization of a financial sector-wide interoperable solution that will enable instant transfer of payments across the entire financial industry. The CBK has sought support of the SAFER project on the set up of an open and fully interoperable digital public infrastructure. The MTR mission identified that the CBK is in the process of finalizing TORs to commission a gap analysis of the market solutions and agreed that further technical engagement by the World Bank Task Team would be needed in Q3 of FY 25/26 to finalize agreements on the proposed design of a modern FPS and agree on the proposed scope of support from the SAFER project.

16. The mission reported progress with the implementation of K-NEST. The Kenya National Entrepreneurs Savings Trust (KNEST), a micro pension scheme for informal sector workers, seeks to provide affordable pensions via technology. Over KES 2.2 billion from the Hustler Fund has been allocated but has not yet transferred to KNEST as Assets Under Management as of December 2025. Three service providers – a scheme administrator, custodian, and fund manager - have been appointed. An audit is required before transferring all Hustler Fund savings to KNEST to ensure transparency. The mission also agreed to support KNEST on the next step of pilot voluntary savings, subject to Retirement Benefits Authority approval, and the finalization of digitization efforts through Safaricom and planned communication strategies.

17. Besides improving financial access and reforming the sector, the mission found the project significantly strengthened the implementing agencies' capabilities. The project supported KDC in creating its first wholesale lending product, forming a green finance strategy, and achieving sustainability accreditation – all to help attract more private capital. It also provided training to strengthen KDC's skills in financial assessment and monitoring of financial institutions. PFIs benefited from capacity-building programs on credit risk analysis, governance, financial sustainability, MSME product innovation, and mechanisms for sharing credit information.

Financial Management

18. The FM risk has been assessed as Moderate, with the FM ISR rating deemed Satisfactory. The project continues to uphold adequate financial management arrangements, demonstrating progress on

previously agreed actions, including: (i) approval of the 2025/2026 AWPB; (ii) improved disbursement to PFIs, rising from Kshs. 1.8 billion to Kshs. 3.225 billion; and (iii) submission of the internal audit report. Both the NT PIU and KDC have retained qualified and experienced accountants to support the project's implementation. Furthermore, the NT PIU has consistently provided accurate and timely IFRs and withdrawal applications during the reporting period. The audit report for June 30, 2025, was submitted punctually and received an unqualified opinion, with no outstanding weaknesses noted in the management letter. Nevertheless, several areas require attention. These include: (i) low overall project absorption at 38% and a current year budget absorption rate of only 9.3% at the fiscal year midpoint; and (ii) delays in disbursement to PFIs by the Kenya Development Corporation (KDC).

Procurement

19. Procurement performance for SAFER is rated Moderately Satisfactory, with progress in consultant contracts but notable delays and cancellations due to scope changes and activity reassignments. The PIU has experienced slow TOR submissions, late approvals, and contract management issues, keeping overall risk high.

20. During the mid-term review, the team assessed ongoing procurements, checked progress against the procurement plan, and examined operational constraints affecting speed and compliance. Key developments included practical extensions for some consultant contracts, the assignment of communication and strategy contracts, and completion of the strategic plan with steps for implementation. The mission also noted that the MSME survey, initially planned via KNBS, shifted from a legal contract to a memorandum of understanding; it was suggested to classify this as operating expenditure or continued procurable activity. The team stressed the importance of regular procurement plan reviews and prompt uploading of contract and payment documents to ensure audit-readiness, highlighting outstanding documentation and uploading backlogs needing immediate attention. Until the national e-GP system is fully functional for Bank-funded projects, existing Bank-approved procedures should remain in place.

21. The agreed next steps aim to improve coordination and resolve bottlenecks. These actions include: making sure work-plan activities are approved and TORs prepared before adding them to STEP; assigning contract managers and updating activity statuses in STEP; submitting planned cancellations for Bank review; using a standardized format for procurement progress reports in each ISM; quickly uploading outstanding contract documents and coordinating with finance to clear the payment-posting backlog; sending overdue staff contract addenda with supporting documents to reduce operational risk; and finalizing the legal arrangement for the MSME survey, then updating the plan. Together, these measures are intended to boost momentum, reinforce fiduciary compliance, and enhance readiness for further implementation ahead of the mid-term review.

Environment and Social performance

22. The E&S rating of the project is assessed as Satisfactory. The MTR mission identified that the implementation of the ESCP remains on schedule, with the PIU demonstrating notable progress on actions agreed upon during the previous mission. Grievance mechanisms are now fully operational at all levels: the umbrella FI (National Treasury PIU), Apex FI (KDC), and PFIs, as detailed in Annex 3. E&S personnel have been thoroughly integrated across the PIU, KDC, and PFIs. Specifically, the PIU employs an E&S specialist; KDC has both internal E&S staff and support from an external consulting firm; and across the nine PFIs, there are 17 dedicated E&S/GBV-GM focal staff (typically one to two per PFI). Orientation on the ESMS for PFIs has been completed, with two additional training sessions planned, and the PIU continues to provide ongoing mentorship regarding ESMS requirements. Baseline survey tools have been updated to include E&S diagnostics covering PFI capacity, field staff safety, and E&S audits on a sample of PFIs. The mapping of GBV service providers is nearing completion, with validation finalized in 32 counties and work remaining in 15 counties.

23. ESMS Implementation progress was assessed as satisfactory: The Bank has noted substantial progress in integrating ESMS provisions across project processes by NT, KDC, and PFIs, encompassing

E&S due diligence, capacity building, and audits. Both ESMS and ESCP requirements, including the exclusion list, have been fully operationalized and are being effectively applied. At the PFI level, ESMS implementation is supported by loan conditions mandating the appointment of E&S/GRM/GBV focal persons; integration of KDC's exclusion list and national compliance obligations into ESMS, credit processes, and appraisal tools; and the requirement for PFIs/MSMEs to prepare appropriate ESIA reports (e.g., ESMPs, Summary Project Reports, or Comprehensive Project Reports) in accordance with national law and KDC's ESMS before sub-loan agreements. All funded PFIs have submitted approved E&S policies and are considered substantially compliant at the policy level. KDC is up to date with E&S performance reporting, with no serious incidents reported during the review period.

24. Stakeholder Engagement and Grievance Management has been assessed as adequate, though areas for improvement remain: Since the project's inception, no grievances have been recorded. The Bank has recommended that the PIU and KDC enhance communication of the grievance mechanism among SMEs and will provide additional training to PFIs on effective grievance management. Project teams are further encouraged to strengthen stakeholder engagement efforts, continue capacity building initiatives for PFIs, and improve SME awareness, especially concerning safety and GBV-SEA/SH issues. In addition, project progress reports should now incorporate data regarding SMEs owned by minority VMGs (in line with ESS 7) and persons with disabilities (PWDs), in addition to the existing gender and age disaggregation.

Results Framework

25. The SAFER Project Mid Term Evaluation (MTE), conducted in September 2025, aimed to assess the project's relevance, effectiveness, efficiency, impact, and sustainability. This evaluation sought to measure progress, guide decision-making, improve future actions, and ensure responsible use of project funds. Key findings revealed that 95.4% of MSMEs considered the SAFER loan relevant to their needs, thanks to its flexible repayment terms, low interest rates, and simple access procedure - all crucial for business resilience and growth after COVID-19. Regarding effectiveness, the project successfully provided timely loans and some training and capacity building; however, support from the National Treasury, KDC, and PFIs was found to be limited with requests for additional training being sought by MSMEs. In terms of efficiency, 89.6% of MSMEs felt services met their expectations, with 10.7% rating them as outstanding and 24.9% saying they exceeded expectations. The primary impact observed was financial stabilization and expansion of businesses among MSMEs, with 94.4% reporting improved performance thanks to the SAFER loan. As for sustainability, 94.7% of MSMEs believed the benefits of SAFER loans would extend beyond 2026. Participating financial institutions also highlighted the revolving structure of the SAFER loan, which is expected to keep supporting more MSME members even after the official project period ends. The project has achieved most of the results framework indicators with a detailed overview of the results framework in the attached borrower's MTR report.

C. Next steps:

SN.	Issue	Responsible Entity	Target Date
1.	Registration of the Credit Guarantee Company: The Technical Advisor working with the NT and potential private sector players will register the company and identify the subsequent capital allocations	NT, Transaction Advisor	December 17, 2025
2.	Request for supplementary budget under FY25/26 for SAFER implementation: It was agreed that following the anticipated meeting of PBC 1 under	NT PIU	January 31, 2026

SN.	Issue	Responsible Entity	Target Date
	component 2, NT will work to secure sufficient budget under the next supplementary budget cycle.		
3.	Digital Sub-Component Disbursement under KDC: KDC will fast-track clearance for the remaining 6 PFIs under the line of credit to enable disbursement and onward lending to MSMEs.	KDC	January 31, 2026

FM Action Plan

	Mitigation measure	Person responsible	Due date
1.	Enhance the current year budget absorption rate.	NT PIU	June 30, 2026
2.	Capacity building of PFIs on reporting	NT PIU / KDC	February 28, 2026
3.	Timely disbursement to the PFIs	KDC	Continuous

Environmental and Social (E&S) Agreed Actions

	Action	Responsibility	By
1	Train PFIs on several E&S themes including GM and GBV-SEA/SH aspects.	Bank, PIU and KDC	Dec 17, 2025
2	Create awareness to SMEs on GMs, GBV, and OHS aspects.	PIU and KDC (Apex FI)	Jan 30, 2026
3	Continue ESMS training to PFIs and include the new cohort of PFIs.	PIU and KDC	Feb 15, 2026 (next training) and continuous
4	Include in the progress reporting, SMEs owned by minority VMGs and PWDs and supported under SAFER, in addition to SMEs owned by women and youth.	PIU and KDC	Continuous
5	Promote alignment of E&S reporting with financial reporting among MSMEs to overcome the challenge of irregular reporting.	PIU	Continuous

Annex I: KDC Financial Intermediary Financing (FIF) Assessment (Nov 2025)

Updated Financial Intermediary Policy Review (MTR)

1. Context

Kenya Development Corporation (KDC) has been the implementing agency for the Supporting Access to Finance and Enterprise Recovery (SAFER) project's component 1, with the subsidiary financing agreement signed 24th August 2023.

Prior to project approval, a financial intermediary assessment was undertaken in the fall of 2022 to confirm KDC's compliance with the Financial Intermediary Policy requirements. The assessment concluded KDC's compliance with the policy requirements and eligibility to act as project implementation agency, specifically as the 2nd tier institution channeling project funds to the Participating Financial Institutions (PFI). In its role, KDC through the end of the FY 2024/2025 has drawn down project funds of US\$48.8 million and on-lend the equivalent of US\$43.5 million to eligible PFIs.

The original intermediary assessment confirmed KDC's governance, operational and financial eligibility, while noting certain constraints derived from the then only recent establishment of KDC as a merged entity of three government-owned Development Finance Institutions (DFI). The following provides an up-date review of KDC's continued compliance with the requirements under the Financial Intermediary Policy guidelines for project implementation agencies, in the context of the Mid-Term Review of the SAFER project.

2. Summary Conclusion

KDC is the amalgamation of three government-owned DFIs, established for distinct economic and sectoral purposes between the mid 1950's and 1970's, and was only established in 2020. At its establishment, KDC had only a limited direct lending loan book, mostly for large-size operations, and no experience as a 2nd-tier, wholesale lending institution. Since 2022, KDC, with support under the SAFER project and channeling the project's credit resources, has established its wholesale financing function, while also advancing in the financial, operational and institutional integration of the three prior institutions.

While this process continues and KDC faces several challenges and constraints, the core governance, institutional and financial functions and indicators of KDC are - on balance - acceptable and do not pose constraints or risks of a magnitude to imperil the continued successful implementation of the project. KDC has appropriate policies, procedures and staff in place for project execution, and its balance sheet strength will allow it to absorb the project resources and carry the on-lending risks. Moreover, it is recognized that some meaningful progress has been achieved in strengthening KDC's institutional, financial and operational performance over the last number of years, particularly regarding the build-out of the 2nd-tier financing functions.

However, constraints remain. Of particular concerns are the institution's governance arrangements, specifically the role and consequences of the government ownership of KDC. Foremost among concerns is the functioning of the institution's Board and the limitation of Government ownership on the institution's business conduct. Although a comprehensive set of Corporate Governance rules have been established for the Board, in practice the selection, appointment and eventual replacement of members do not follow the transparent due process rules generally considered best practice which would shield members from undue influence. This includes the independent Board members, which - while representing a majority - are nevertheless appointed de-facto At Will solely by the Government, as are all the other members. Moreover, the Board lacks the independence and freedom to conduct the institution's business in a manner consistent with a commercial financial entity, given the constraints derived from National Treasury and Ministry of

Trade and Industry directives or other Government agencies' involvement as well as legal constraints as a public entity. This engenders the potential to hamper KDC's further development and growth.

The Board functioning itself is duly regulated and established, but its effectiveness is circumscribed by the above outlined constraints. In addition to the full Board there are four standing committees covering Audit (and Compliance), Portfolio and Risk Management and Investments and Strategy, as well as a committee combining Finance, Human Resources, Administration and Governance affairs. The Board and the committees meet – at least – quarterly and meeting frequencies and attendants is reported in the annual reports. The Annual Report for 2024 reports that the Board undertakes annual self-assessments under the guidance of the State Corporations Advisory Committee, although assessments results are not reflected in the report.

Below the Board level, KDC's Corporate Governance arrangements, including Audit and Risk Management, are well developed with an appropriate set of policies and procedures in place and an established institutional capacity. Particularly the Internal Audit functions are established and operate independently from management, with direct reporting to the Board's Audit Committee. The latter's functioning is governed by a Committee Charter and the Internal Audit function itself is governed by the Internal Audit Charter and the Internal Audit Manual. Annual workplans guide performance.

In addition to the Internal Audit function a separate Risk Management function is established. In its risk management approach KDC follows the Association of African Development Finance Institutions' norms and prudential standards and has reportedly adopted Kenya Central Bank Risk Management Framework. However, it should be noted that the risk management function does not report independently to the Board but rather to senior management.

As a government owned entity KDC is audited annually by the Office of the Auditor General and not by an independent external audit firm. The latest available audit – fiscal year 2023-2024, June 2024 – provides a qualified opinion, outlining concerns regarding (i) the valuation methodology for unquoted investments representing approximately KES 16 billion, (ii) the consolidation of majority ownership in five investments under IFRS 10 rules, and (iii) concerns over the valuation and accounting adequacy of external borrowings and Government grants carried on KDC's books. In addition, the report emphasizes concerns over the recovery value of certain loans and investment assets. The qualified opinion is a marked departure from earlier Audits by the Office of the Auditor General which provided unqualified opinions, while also noting the deterioration of credit assets and investments. However, the 2024 audit does not note any going-concerns concerns or raise financial sustainability issues for KDC.

KDC's financial position is still impacted by unresolved legacy assets of dubious value. KDC has not been able to liquidate, divest or de-recognize the totality of non-performing loans and investments and other deteriorated assets allocated during the merger process. Furthermore, while KDC inherited the existing liabilities of the merged entities, its ability to attend to market demands and broaden operations and its balance sheet has been stifled by its Government ownership and the limitations placed on its ability to expand its balance sheet through additional 3rd party borrowing, beyond the SAFER project funding and a recent similar line with KfW of Germany.

At the end of June 2022, at the time of the original assessment of KDC, the institution reported Total Assets of KES 37 billion, reflecting an approximately 10 percent growth from the situation at the time of the merger, principally because of the revaluation of certain assets in the intervening period. KDC assets were dominated by its legacy long-term equity investment portfolio which account for approximately 52 percent of Total Assets, in addition to 19.25 percent in property investment and 8.55 percent in short-term financial investments. Lending operations to MSMEs only account for some 11.6 percent of Total Assets. For their part, the liabilities and funding sources remained confined to those available at the time of the merger, i.e.

limited direct funding from the Government of Kenya and the Exim Bank of India financing line channeled through the National Treasury.

As of the end of June 2025, KDC's Total Assets stood at KES 43.5 billion, with the increase principally driven by the liabilities provided under the SAFER project and an increase of Retained Earnings of approximately KES 4 billion since June 2022. KDC's incursion into 2nd- Tier lending through the SAFER project also has contributed to a marked change in the asset composition, with an increasing participation of the net loan book as a percentage of Total Assets, from about 13.78 percent in June 2022 to 22.29 percent in June 2025. However, KDC continues to manage a significant amount of legacy assets, including a portfolio of approximately KES 32 billion of fully provisioned non-performing loans.

Table 3: Balance Sheet (unaudited) June 2025 (in KES '000)

ASSETS		% of Total Assets	LIABILITIES		% of Total Assets
Cash & Cash Equivalent	4,008,010	9.22%	GOK Loans	741,516	
Net Loan Portfolio	9,692,524	22.29%	EximBank India	590,108	
[of which DRIVE & SAFER]	3,067,450		SAFER	2,350,000	
Accounts Receivable	695,385	1.60%	Accrued Interest on Borrowings	217,336	
Fixed Assets	769,782	1.77%	Other Liabilities	759,434	
Investment Properties	9,698,958	22.30%	Total Liabilities	4,658,396	10.71%
Investments in Quoted/Non-Quoted Companies	18,116,811	41.66%			
Other Assets	506,209	1.16%	Revaluation Reserves	1,184,141	2.72%
			Fair Value Reserves	15,541,486	35.74%
			Retained earnings	16,928,995	38.93%
			Share Capital	936,807	2.15%
			Grants	4,237,857	9.74%
			Total Equity	38,829,285	89.29%
Total Assets	43,487,682		Total Liabilities & Equity	43,487,682	

Source: KDC Un-audited Management Accounts June 2025, own calculations

Reported Net Assets were KES 38.83 billion, equivalent to 89.29 percent of Total Assets, implying an unusually low gearing ratio for financial intermediaries and poor capital utilization. However, the quality of the equity position could be considered weak, as a significant proportion derives from revaluation and fair-value adjustments of KDC's legacy assets. Downward mark-to-market assessments of those assets, whose quality is uncertain, would put immediate pressure on KDC's capital position.

KDC has been consistently profitable since its establishment in 2020, with the after-tax net income reaching KES 926.5 million in 2025 and the Comprehensive Income for the year reported at KES 1,369.9 million. KDC's net income and Comprehensive Income have varied significantly over the period, in line with recorded revaluation gains and mark-to-market adjustments to the carrying value of its equity investments. Return on Assets over the period has been modest and irregular.

Table 4: Net Income 2022 - 2025

KES '000	Jun-21	Jun-22	Jun-23	Jun-24	Jun-25
Net Income	595,198	988,534	495,272	2,677,294 ¹⁾	926,528
Comprehensive Income	413,583	3,122,693	-385,439	1,388,701	1,369,942
RoA	1.73%	2.69%	1.50%	6.68%	2.13%

¹⁾ For FY 2023/2024 KES 2,250 million of Revaluation Gains of Investment Property was recorded as Other Income

Source: KDC Audit Reports, Un-audited Management Accounts June 2025, own calculations

Operationally and organizationally KDC has an adequate structure in place to perform its business mandate, with an appropriate organizational structure and staffing complement.

With respect to its implementation capacity of SAFER, since 2023, KDC has markedly improved its capacity – not least through the support of the project – in terms of counter-party risk assessment and project implementation aspects, including the capacity to provide safeguards and ESMS support and compliance. Going forward, KDC anticipates partially reorganizing its structure and establishing a dedicated 2nd-tier financing organizational unit. However, the new organizational chart is pending approval by the government authorities.

An Internal Audit review of KDC's SAFER execution, dated August 2025, noted a few audit findings, but concluded 'Internal controls are mostly acceptable to safeguard assets or minimize exposure to losses. However, a few mainly medium audit issues were identified'. None of the audit findings would seem to present a major risk for project performance, KDC or the World Bank and the Audit report does not give rise to challenge KDC's continued ability to successfully implement SAFER going forward.

Annex 2: List of institutions engaged during the mission.

1. The National Treasury and Planning.
 - a. Budget, Fiscal and Economic Affairs.
 - b. NT Credit Guarantee Scheme Team
 - c. SAFER Project Implementation Unit.
2. State Department of MSME (SDMSME).
3. Kenya Development Corporation (KDC).
4. Kenya National Entrepreneurs and Savings Trust (KNEST).
5. Savings and Credit Cooperatives Societies Regulatory Authority (SASRA).
6. MSME Authority (MSEA).

Annex 3: SAFER Project Grievance Mechanism (NT, Apex, and PFI Levels)

1. GM Structure and Roles

a) Level 1 – Participating Financial Institutions (PFIs)

Role: First point of contact and resolution for complaints from MSMEs and the public about SAFER-supported products and services. Each PFI handles registration, assessment, investigation, resolution and feedback at institution level, and escalates unresolved cases to KDC.

- Each PFI is required to appoint at least one E&S focal person and one GM/GBV focal person as a condition for disbursement.

- As of November 2025, 9 PFIs have formally nominated **17 E&S / GBV-GM focal staff** (typically 1–2 per PFI).
- PFIs use their existing complaint desks (branch suggestion boxes, service numbers and official emails/websites) with clearly designated SAFER E&S / GM focal points.

b) Level 2 – Apex Financial Institution (Kenya Development Corporation – KDC)

Role: Receives and manages cases escalated from PFIs or submitted directly by stakeholders, provides technical backstopping, ensures consistent application of the ESMS and GM, and reports on GM performance. A Grievance Committee (GC) is established at KDC, with the GM focal acting as secretary.

- **One (1) ESMS/E&S safeguards expert** at KDC responsible for environmental and social risk assessment and GM coordination, supported by the Risk & Compliance team and an external E&S consulting firm.
- ESMS Officer reports to the Manager Risk & Compliance (Executive Committee member) and holds overall accountability for ESMS performance, including GM implementation.
- **KDC GM contact details**
 - **Institution:** Kenya Development Corporation (KDC) – SAFER Apex FI
 - **Address:** 17th Floor, Uchumi House, Aga Khan Walk, Nairobi
 - **Telephone (switchboard):** +254-020-2229213
 - **Mobile:** +254-727-534572
 - **Online complaints portal:** via KDC website (Complaints page)
 - **Emails:** complaints@kdc.go.ke; info@kdc.go.ke
 - **GM focal:** Dedicated GM/E&S staff and KDC GM Committee

c) Level 3 – Project Implementation Unit (PIU), National Treasury

Role: Project-level coordination and oversight of the GM across all components, maintenance of the central grievance log, consolidation of GM reports, and escalation point for complex or unresolved cases from KDC and PFIs. The PIU also links the project GM to NT’s corporate complaints system and to national and World Bank-level redress mechanisms.

- **One (1) E&S Safeguards Specialist** at NT-PIU acts as the **project GM focal point**, coordinating GM implementation across all components and entities.
- Supported by the PIU team and the National Treasury Complaints Desk Officer within the NT corporate complaints framework.
- **PIU and NT contact details**
 - **SAFER PIU-Project complaints**
 - Address: 7th Floor, Anniversary Towers (North Tower), Monrovia St/University Way, Nairobi
 - Tel: +254-20-2210271/4
 - Toll Free line; · 0800230022 1 (**provides a confidential mechanism for GBV reporting**)
 - Email (project): complaints@piu.go.ke
 - Website: <http://www.piu.treasury.go.ke/>
 - Focal: **E&S Safeguards Specialist (GM focal)**

2. Toll-Free and GBV-Sensitive Channels

For GBV/SEA/SH cases linked to SAFER, the project GM is integrated with national GBV referral pathways:

- **National GBV Toll-Free Helpline: 1195** (24/7, confidential counselling and referral).
- **Project toll-free line:** Toll Free line; · 0800230022 1.
- PFIs, KDC and NT-PIU GBV/GM focal persons are responsible for survivor-centered handling of GBV-related complaints, ensuring safe, confidential referral to health, psychosocial, legal and protection services.

3. How Stakeholders Use the GM (Summary Flow)

- **MSME / stakeholder** submits complaints to **PFI** (branch, phone, email, website, suggestion box).
- If not resolved, complaint is **escalated to KDC** (Apex) via KDC complaint channels.
- If still unresolved or if the issue concerns overall project governance, it is **escalated to NT-PIU** and/or NT corporate complaints system.
- Complainants may at any time use **1195** for GBV issues or pursue external recourse (CAJ, NET, courts, or the World Bank GRS/Inspection Panel) if dissatisfied.